

Mortgages and credit cards

The UK's mortgage and credit card markets are among the most developed in the world. A huge range of mortgages are available to the prospective house buyer, and more credit cards are in use in the UK than anywhere in Europe.

Mortgages

The UK has one of the most diverse mortgage markets in the world, with a wider range of products than in most countries. Around 300 lenders comprise banks, building societies, specialized mortgage organizations, insurance companies, and pension funds.

There are three types of mortgages in the UK. A fixed rate mortgage is the most popular, as the interest is set at the same level for two, three, five, or even 10 years, allowing borrowers to plan their repayments. A tracker rate mortgage is fixed to the base rate set by the Bank of England, while a variable rate can change at the discretion of the mortgage's lender.

The Mortgage Market Review

A borrower's eligibility for a mortgage is currently determined by the Mortgage Market Review rules introduced by the Financial Conduct Authority (FCA) in April 2014. This has made it more difficult to be approved by a lender. The lender now takes into account not only the applicant's declared income, but also their outgoings – what remains after their regular monthly expenditure, verified by their bank statements. Lenders also have to consider whether the prospective borrower will be able to meet repayments if interest rates rise, typically calculating potential increases at a rate of between 6 per cent and 7 per cent.

Mortgage trends

The 25-year mortgage, once the housing market's mainstay, is now rivalled by the 30-year mortgage, according to data from the Office of National Statistics. From 2006 to 2015, the 25-year mortgage's share of the entire UK market fell from 42.2 per cent to 21.5 per cent. Meanwhile, over the same period, the 30-year

mortgage grew in market share from 7.2 per cent to 19.1 per cent. This longer-term mortgage makes the monthly repayments more affordable, especially for first-time buyers. In fact, almost a third of first-time buyers now opt for a term of 35 years.

Minimum deposits for mortgages start at 5 per cent, but most buyers aim for a higher deposit, as this gives access to better lending rates with lower repayments. In the UK, the average deposit as a proportion of the loan is now around 30 per cent, or just over £70,000.

Buy-to-let

The introduction of buy-to-let mortgages in the late 1990s stimulated huge growth in the number of investor landlords who bought multiple properties, vying with first-time buyers for properties in areas of urban growth and driving up prices. In 2015, buy-to-let accounted for 9 per cent of all property purchases in the UK. To dampen investor enthusiasm in favour of first-time buyers, the government introduced higher stamp duty on buy-to-let properties. Most buy-to-let mortgages require a minimum deposit of 25 per cent.

Incentive schemes

The government's Help to Buy mortgage scheme, which helped first-time buyers obtain a bigger deposit, closed at the end of 2016. Other measures were put in place, aimed at stimulating a housing market in which the level of house prices relative to earnings has been high, making it especially hard for first-time buyers to get onto the property ladder. Under the Right to Buy scheme, council and housing association tenants living in their homes for a minimum of three years may be eligible to buy them, with discounts of up to £103,900 in Greater London and £77,900 outside London.